LAND STERLING

# REPORT ON RENTAL MARKET RESEARCH FOR KHALIFA UNIVERSITY, MAIN CAMPUS

Assessment Date: 06th September 2022

FOR KHALIFA UNIVERSITY

# PROJECT BACKGROUND

Khalifa University, hereafter referred to as the client, currently owns a university campus in Hadbat Al Za'faranah, Abu Dhabi. The campus includes components like classrooms, laboratories, offices, auditoriums, workshops, libraries, sports facilities, student accommodation and retail units. The client wishes to undertake a detailed market research for determining the achievable rentals for components like offices, laboratories, auditoriums and retail units.

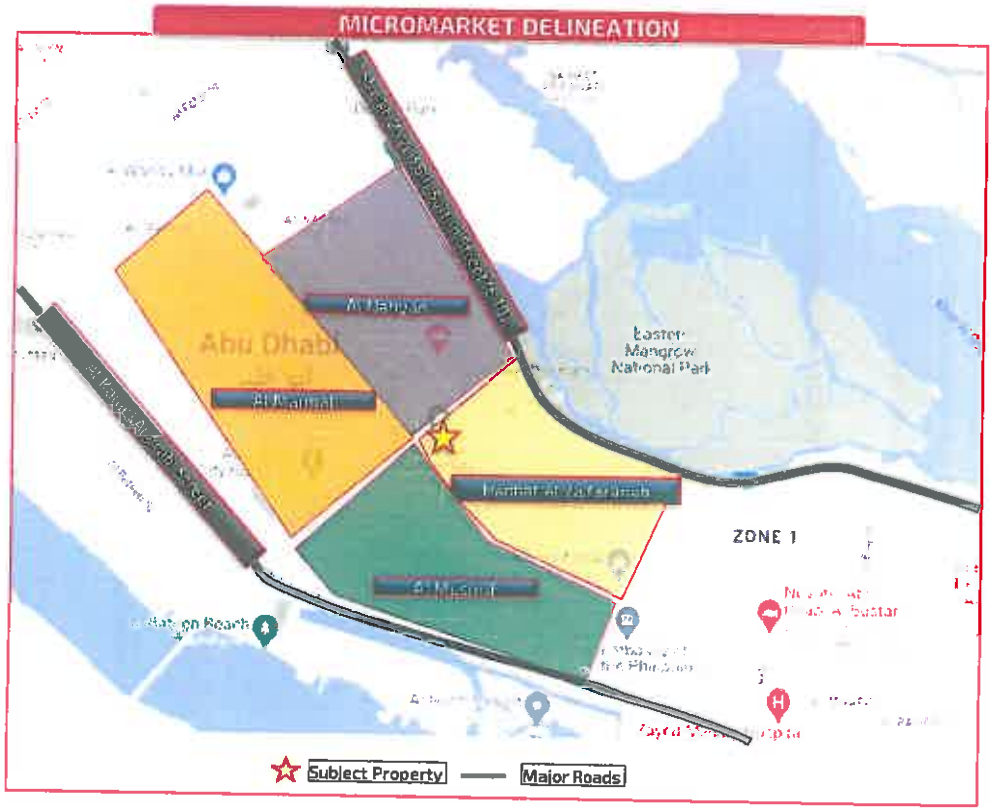
In the context of the above, the client wishes to engage the services of a professional real estate organization for undertaking detailed market research for determining the achievable rentals for the portfolio of properties from a market and financial perspective.

In this regard, the Consulting and Valuation division at Land Sterling Property Consultants LLC is pleased to offer its advisory services for undertaking detailed market research for determining the achievable rentals for the portfolio of properties located across UAE

The subsequent sections of this interim report will detail the approach and methodology, market overview and rental assessment derived as part of the rental assessment undertaken for **Office, Retail, Laboratory and Venue Spaces** forming part of the assessment.

# HADBAT AL ZA'FARANAH– AN OVERVIEW

- Hadbat Al Za'faranah is located in close proximity to the Centrla Business District of Abu Dhabi
- The subject micromarket is located in close proximity to the Abu Dhabi City Golf Club and other prominent micromarkets like Corniche Road and city center.
- The micromarket is predominantly characterized by institutional, educational and commercial developments. The subject micromarket has a predominant presence of commercial and mixed use developments.
- The micromarket is surrounded by communities like Al Nahyan, Al Mushrif and Al Manhal. Predominant presence of residential dwellings could be observed in these neighborhoods with considerable presence of commercial, retail and hospitality developments and a few stand-alone retail developments.
- The region is also characterized by presence of prominent hospitality developments like Dusit Thani, Grand Millenium situated in the periphery of Al Nahyan community and Hadbat Al Za'faranah community

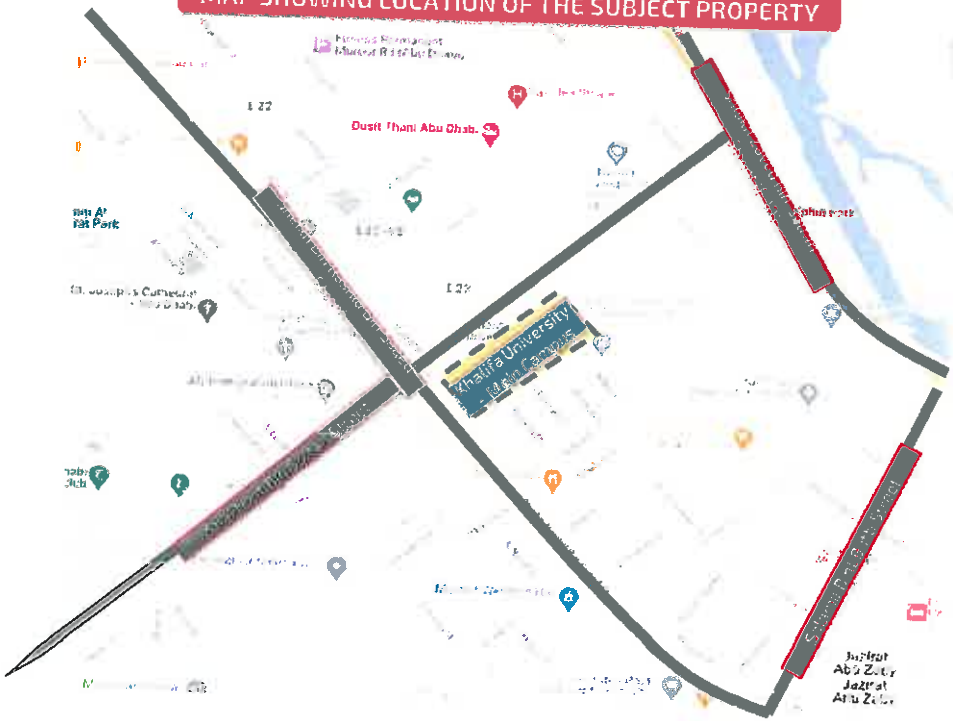


# LOCATION MAP – KHALIFA UNIVERSITY (MAIN CAMPUS)

## KEY FACTS

| Parameters | Details |
|---|---|
| Site Description | **Total Net Internal Area – Approx. 121,677 sq.mt**<br><br>**Office Space: Approx. 22,595.36 sq.mt**<br>**Retail Space: Approx. 695.86 sq.mt**<br>**Laboratory Space: Approx. 14,632 sq.mt**<br>**Venues: Approx. 2,228 sq.mt (Cumulative Capacity of 1,210 pax)**<br><br>The internal area comprises of classrooms, laboratories, auditoriums, offices, workshops, stores, libraries, meeting rooms, etc.<br><br>**Location:** The subject property is located in Hadbat Al Za'faranah community which is adjacent to Al Nahyan, Al Mushrif and Al Manhal micro-markets. |
| Accessibility | The primary access to the property can be gained through Shakhbout Bin Sultant Streey emanating from Sheikh Zayed Bin Sultan Street (E10) |
| Connectivity | Well-connected to all parts of the city through road. |
| Profile of surrounding developments | The immediate surroundings of the property are characterised by the presence of institutional developments. Presence of commercial, retail and hospitality developments and a few stand-alone retail developments could be observed in and around the subject micromarket. |
| Profile of Development | The Subject Property is currently being operated as an Educational Institution which is predominantly used for end-use purposes with limited spaces offered for external tenants. The nature of these spaces are predominantly retail in nature. |

MAP SHOWING LOCATION OF THE SUBJECT PROPERTY



# IMAGES OF THE SUBJECT PROPERTY

Internal view of property

Internal view of property

Internal view of property

Common Area of the property

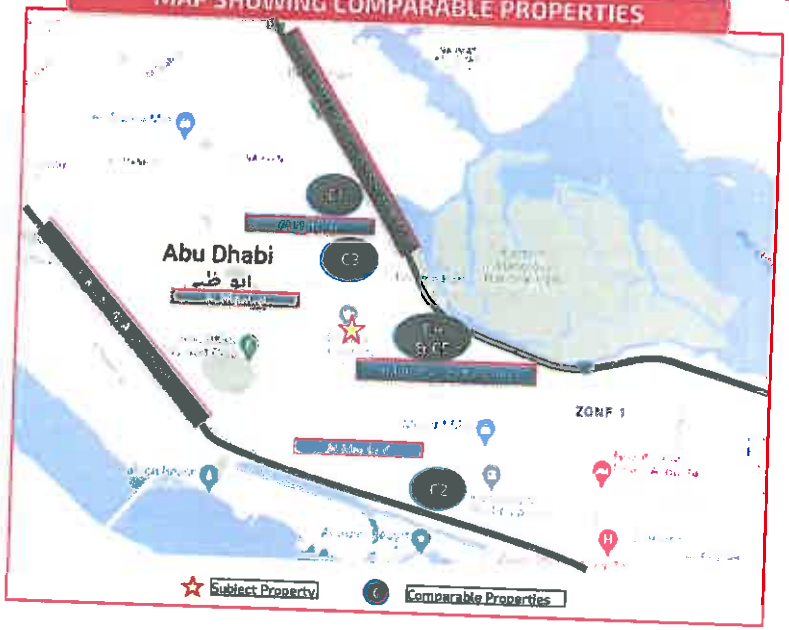
Internal view of property

Internal view of property

# COMPARABLE PROPERTIES – OFFICE SPACES

| S.No | Location | Asking/ Transaction | Type | Leasable Area (In Sq.mt) | Annual Rental (AED/Annum) | Rental Value (AED/sq.mt) |
|---|---|---|---|---|---|---|
| 1 | Al Nahyan | Asking | Fitted Out | 188 | 263,192 | 1,400 |
| 2 | Al Bateen | Asking | Fitted Out | 795 | 1,152,750 | 1,450 |
| 3 | Dusit Thani | Asking | Fitted Out | 194 | 156,929 | 810 |
| 4 | Al Muroor | Asking | Unfurnished | 1,000 | 900,000 | 900 |
| 5 | Al Muroor | Asking | Unfurnished | 706 | 635,400 | 900 |

MAP SHOWING COMPARABLE PROPERTIES




As mentioned in our previous sections, the subject micromarket has limited presence of retail and commercial spaces. In view of this, we have compiled and analyzed comparable commercial spaces in and around the subject micromarket. For the purpose of this exercise, we have considered markets such as Al Nahyan, Al Bateen and Al Muroor, which in our opinion are in close proximity to the subject property. The aforementioned table enumerates the details of the comparable properties available for leasing in the immediate vicinity of the subject property. It was also understood that the rental values for the properties in and around the subject micro-market are influenced by factors like size, location, profile of development (amenities, facilities), age and quality. In addition, based on our interactions with relevant real estate players like developers, brokers and landlords, it was also observed that there is a scope for negotiations, given the current dynamics of the market. The rental value assumption for the subject development has been arrived by providing appropriate premiums/ discounts (in the range of 0% to 20%) to each of the above-mentioned factors.

# RENTAL DISCOVERY ASSESSMENT

| Comparable Property | Rental Value (AED/sq.mt) | Comparable Analysis |
|---|---|---|
| Comparable Property 1 (C1) | 1,400 | **Property Overview:** The Comparable Property (C1) is a fitted out office space located in Al Nahyan community in close proximity to Al Nahyan Park. C1 is located in a commercial building christened Plaza 30 with all necessary amenities covered.<br><br>**Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%)<br><br>**Size:** C1 admeasures a size of approx. 188 sq.mt and is substantially lower in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 22,595 sq.mt (spread across various units with size ranging from 4 sq.mt to 244 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 5% to 15% (say approx. 10%) on account of the size characteristics.<br><br>**Location:** C1 is located in the periphery of Al Nahyan micromarket and is located in proximity to an established community with presence of prime commercial and institutional buildings vis-à-vis the SP, which is located in a marginally inferior location with comparatively lesser infrastructural traits. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes.<br><br>**Amenities:** C1 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C1 & SP are deemed to carry similar traits in terms of amenties. However, the unit is being offered as a fitted out space. On account of this, we have applied a discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the amenity attributes.<br><br>**Profile of Development:** C1 is located in a mid-rise commercial independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a marginal premium to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the profile of development<br><br>**Age & Quality:** C1 is a space offered in a fairly new building which was constructed recently with all contemporary services and architecture. Both C1 & SP are deemed to carry similar traits in terms of age & quality. Hence no premiums or discounts have been applied.<br><br>**Based on the above analysis, the adjusted capital value of the subject property in comparison to C1 is approx. AED 1,155 per sq.mt on leasable area.** |

# RENTAL DISCOVERY ASSESSMENT

| Comparable Property | Rental Value (AED/sq.mt) | Comparable Analysis |
|---|---|---|
| Comparable Property 2 (C2) | 1,450 | **Property Overview:** The Comparable Property (C2) is a fitted out office space located in Al Bateen community in close proximity to Embassy of Philippines. C2 is located in a commercial building with all necessary amenities covered.<br><br>**Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%)<br><br>**Size:** C2 admeasures a size of approx. 795 sq.mt and is substantially lower in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 22,595 sq.mt (spread across various units with size ranging from 4 sq.mt to 244 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 5% to 10% (say approx. 7.5%) on account of the size characteristics.<br><br>**Location:** C2 is located in the periphery of Al Nahyan micromarket and is located in proximity to an established community with presence of prime commercial and institutional buildings vis-à-vis the SP, which is located in a marginally inferior location with comparatively lesser infrastructural traits. On account of this, we have applied a marginal discount to the subject property in the range of 3% to 6% (say approx. 5%) on account of the locational attributes.<br><br>**Amenities:** C2 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C2 & SP are deemed to carry similar traits in terms of amenties. However, the unit is being offered as a fitted out space. On account of this, we have applied a discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the amenity attributes.<br><br>**Profile of Development:** C2 is located in a mid-rise commercial independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a marginal premium to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the profile of development<br><br>**Age & Quality:** C2 is a space offered in a fairly new building which was refitted recently with all contemporary services and architecture, whereas the subject property is a development offering contemporary services but standard offerings. On account of this, we have applied a discount to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor<br><br>**Based on the above analysis, the adjusted capital value of the subject property in comparison to C2 is approx. AED 1,051 per sq.mt on leasable area.** |

# RENTAL DISCOVERY ASSESSMENT

| Comparable Property | Rental Value (AED/sq.mt) | Comparable Analysis |
|---|---|---|
| Comparable Property 3 (C3) | 810 | **Property Overview:** The Comparable Property (C3) is a fitted out office space located in Hadbat Al Za'faranah community in close proximity to the subject property. C3 is located in an integrated commercial and hospitality building with all necessary amenities covered.<br><br>**Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%)<br><br>**Size:** C3 admeasures a size of approx. 194 sq.mt and is substantially lower in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 22,595 sq.mt (spread across various units with size ranging from 4 sq.mt to 244 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 5% to 15% (say approx. 10%) on account of the size characteristics.<br><br>**Location:** C3 is located in the periphery of Hadbat Al Za'faranah micromarket and is located in proximity to the subject property. Both SP & C3 are deemed to carry similar locational attributes. Hence no premiums or discounts have been applied.<br><br>**Amenities:** C3 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C3 & SP are deemed to carry similar traits in terms of amenties. However, the unit is being offered as a fitted out space. On account of this, we have applied a discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the amenity attributes.<br><br>**Profile of Development:** C3 is located in an integrated commercial and hospitality building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building similar to the comparable property, however, the comparable property enjoys the branding and address advantage of the hospitality development. On account of this, we have applied a discount to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development<br><br>**Age & Quality:** C3 is a space offered in a mixed use building with requisite services and architecture, whereas the subject property is a development offering contemporary services with fairly modern architecture. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the age and quality factor<br><br>**Based on the above analysis, the adjusted capital value of the subject property in comparison to C3 is approx. AED 668 per sq.mt on leasable area.** |

# RENTAL DISCOVERY ASSESSMENT

| Comparable Property | Rental Value (AED/sq.mt) | Comparable Analysis |
|---|---|---|
| Comparable Property 4 (C4) | 900 | **Property Overview:** The Comparable Property (C4) is a shell & core office space located in Al Muroor community. C4 is located in a commercial building with all necessary amenities covered.<br><br>**Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%)<br><br>**Size:** C4 admeasures a size of approx. 1,000 sq.mt and is substantially lower in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 22,595 sq.mt (spread across various units with size ranging from 4 sq.mt to 244 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 3% to 6% (say approx. 5%) on account of the size characteristics.<br><br>**Location:** C4 is located in the periphery of Al Muroor micromarket and is located in proximity to the subject property. Both SP & C4 are deemed to carry similar locational attributes. Hence no premiums or discounts have been applied.<br><br>**Amenities:** C4 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C4 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied.<br><br>**Profile of Development:** C4 is located in a mid-rise commercial independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development<br><br>**Age & Quality:** C4 is a space offered in a commercial building with requisite services and architecture, whereas the subject property is a development offering contemporary services with fairly modern architecture. On account of this, we have applied a premium to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor<br><br>**Based on the above analysis, the adjusted capital value of the subject property in comparison to C4 is approx. AED 945 per sq.mt on leasable area.** |

# RENTAL DISCOVERY ASSESSMENT

| Comparable Property | Rental Value (AED/sq.mt) | Comparable Analysis |
|---|---|---|
| Comparable Property 5 (C4) | 900 | **Property Overview:** The Comparable Property (C5) is a shell & core office space located in Al Muroor community. C4 is located in a commercial building with all necessary amenities covered.<br><br>**Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%)<br><br>**Size:** C5 admeasures a size of approx. 706 sq.mt and is substantially lower in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 22,595 sq.mt (spread across various units with size ranging from 4 sq.mt to 244 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 5% to 10% (say approx. 7.5%) on account of the size characteristics.<br><br>**Location:** C5 is located in the periphery of Al Muroor micromarket and is located in proximity to the subject property. Both SP5 & C5 are deemed to carry similar locational attributes. Hence no premiums or discounts have been applied.<br><br>**Amenities:** C5 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C5 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied.<br><br>**Profile of Development:** C5 is located in a mid-rise commercial independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development<br><br>**Age & Quality:** C5 is a space offered in a commercial building with requisite services and architecture, whereas the subject property is a development offering contemporary services with fairly modern architecture. On account of this, we have applied a premium to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor<br><br>**Based on the above analysis, the adjusted capital value of the subject property in comparison to C4 is approx. AED 923 per sq.mt on leasable area.** |

# RENT DISCOVERY ASSESSMENT – KHALIFA UNIVERSITY (MAIN CAMPUS – OFFICE SPACE)

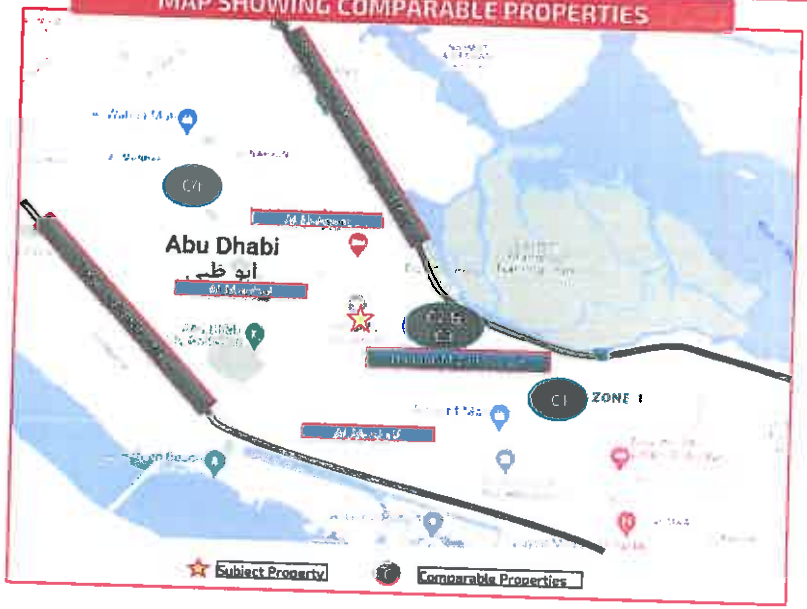
| S.No | Location | Asking/ Transaction | Type | Leasable Area (in Sq.mt) | Annual Rental (AED/Annum) | Rental Value (AED/sq.mt) | Adjusted Rental Value (AED/sq.mt) |
|---|---|---|---|---|---|---|---|
| 1 | Al Nahyan | Asking | Fitted Out | 188 | 263,192 | 1,400 | 1,155 |
| 2 | Al Bateen | Asking | Fitted Out | 795 | 1,152,750 | 1,450 | 1,051 |
| 3 | Dusit Thani | Asking | Fitted Out | 194 | 156,929 | 810 | 668 |
| 4 | Al Muroor | Asking | Unfurnished (Shell & Core) | 1,000 | 900,000 | 900 | 945 |
| 5 | Al Muroor | Asking | Unfurnished (Shell & Core) | 706 | 635,400 | 900 | 923 |

Based on the aforementioned comparable analysis, the average base rental value for office spaces pertaining to the subject property is assumed to be in the range of AED 915 per sq.mt to AED 1,023 per sq.mt on shell & core basis. However, considering the inventory to be offloaded with the competing supply within a stipulated timeframe and the nature of the development (office spaces in an educational development vis-à-vis a typical office space), we are of the opinion that a discount of 10% will be applicable on the assumed based rental value.

# COMPARABLE PROPERTIES – RETAIL SPACES

| S.No | Location | Asking/ Transaction | Type | Leasable Area (In Sq.mt) | Annual Rental (AED/Annum) | Rental Value (AED/sq.mt) |
|---|---|---|---|---|---|---|
| 1 | Al Muroor | Asking | Unfurnished (Shell & Core) | 135 | 220,000 | 1,630 |
| 2 | Al Muroor | Asking | Unfurnished (Shell & Core) | 712 | 783,200 | 1,100 |
| 3 | Al Muroor | Asking | Unfurnished (Shell & Core) | 120 | 150,000 | 1,251 |
| 4 | Al Mushrif | Asking | Unfurnished (Fitted Out) | 2,498 | 3,662,100 | 1,450 |

MAP SHOWING COMPARABLE PROPERTIES




As mentioned in our previous sections, the subject micromarket has limited presence of retail and commercial spaces. In view of this, we have compiled and analyzed comparable commercial spaces in and around the subject micromarket. For the purpose of this exercise, we have considered markets such as Al Muroor and Al Mushrif, which in our opinion are in close proximity to the subject property. The aforementioned table enumerates the details of the comparable properties available for leasing in the immediate vicinity of the subject property. It was also understood that the rental values for the properties in and around the subject micro-market are influenced by factors like size, location, profile of development (amenities, facilities), age and quality. In addition, based on our interactions with relevant real estate players like developers, brokers and landlords, it was also observed that there is a scope for negotiations, given the current dynamics of the market. The rental value assumption for the subject development has been arrived by providing appropriate premiums/ discounts (in the range of 0% to 20%) to each of the above mentioned factors.

# RENTAL DISCOVERY ASSESSMENT

| Comparable Property | Rental Value (AED/sq.mt) | Comparable Analysis |
|---|---|---|
| Comparable Property 1 (C1) | 1,630 | **Property Overview:** The Comparable Property (C1) is a shell & core retail space located in Al Muroor community. C1 is located in a mixed use building with all necessary amenities covered.<br><br>**Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%)<br><br>**Size:** C1 admeasures a size of approx. 135 sq.mt and is substantially smaller in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 696 sq.mt (spread across various units with size ranging from 10 sq.mt to 171 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 5% to 15% (say approx. 10%) on account of the size characteristics.<br><br>**Location:** C1 is located in the periphery of Al Muroor micromarket and is located in proximity to the subject property. Both SP5 & C5 are deemed to carry similar locational attributes. Hence no premiums or discounts have been applied.<br><br>**Amenities:** C1 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C1 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied.<br><br>**Accessibility & Visibility:** C1 is being offered with excellent visibility & accessibility traits which in retail industry is a key parameter, as it is one of the determinants for footfall. The retail spaces in SP are located within key hubs of the campus, however has restricted exposure to a larger crowd. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes.<br><br>**Profile of Development:** C1 is located in a mixed use independent building with a predominant residential profile and limited retail profile to attract desired footfalls. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development<br><br>**Age & Quality:** C1 is a space offered in a comparatively old building with all contemporary services and architecture, whereas the subject property is a development offering contemporary services with fairly modern architecture. On account of this, we have applied a marginal premium to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the age and quality factor<br><br>**Based on the above analysis, the adjusted capital value of the subject property in comparison to C1 is approx. AED 1,467 per sq.mt on leasable area.** |

# RENTAL DISCOVERY ASSESSMENT

| Comparable Property | Rental Value (AED/sq.mt) | Comparable Analysis |
|---|---|---|
| Comparable Property 2 (C2) | 1,100 | **Property Overview:** The Comparable Property (C2) is a shell & core retail space located in Al Muroor community. C2 is located in a mixed use building with all necessary amenities covered.<br><br>**Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%)<br><br>**Size:** C2 admeasures a size of approx. 712 sq.mt and is similar in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 696 sq.mt (spread across various units with size ranging from 10 sq.mt to 171 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Both C2 & SP are deemed to carry similar traits in terms of size. Hence no premiums or discounts have been applied.<br><br>**Location:** C2 is located in the periphery of Al Muroor micromarket and is located in proximity to the subject property. Both SP5 & C2 are deemed to carry similar locational attributes. Hence no premiums or discounts have been applied.<br><br>**Amenities:** C2 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C2 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied.<br><br>**Accessibility & Visibility:** C2 is being offered with excellent visibility & accessibility traits which in retail industry is a key parameter, as it is one of the determinants for footfall. The retail spaces in SP are located within key hubs of the campus, however has restricted exposure to a larger crowd. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes.<br><br>**Profile of Development:** C2 is located in a mixed use independent building with a predominant residential profile and limited retail profile to attract desired footfalls. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development<br><br>**Age & Quality:** C2 is a space offered in a comparatively old building with fairly dated services and architecture, whereas the subject property is a development offering contemporary services with fairly modern architecture. On account of this, we have applied a premium to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor<br><br>**Based on the above analysis, the adjusted capital value of the subject property in comparison to C2 is approx. AED 1,183 per sq.mt on leasable area.** |

# RENTAL DISCOVERY ASSESSMENT

| Comparable Property | Rental Value (AED/sq.mt) | Comparable Analysis |
|---|---|---|
| Comparable Property 3 (C3) | 1,251 | **Property Overview:** The Comparable Property (C3) is a shell & core retail space located in Al Muroor community. C3 is located in a mixed use building with all necessary amenities covered.<br><br>**Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%)<br><br>**Size:** C3 admeasures a size of approx. 120 sq.mt and is substantially smaller in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 696 sq.mt (spread across various units with size ranging from 10 sq.mt to 171 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 5% to 15% (say approx. 10%) on account of the size characteristics.<br><br>**Location:** C3 is located in the periphery of Al Muroor micromarket and is located in proximity to the subject property. Both SPS & C3 are deemed to carry similar locational attributes. Hence no premiums or discounts have been applied.<br><br>**Amenities:** C3 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C3 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied.<br><br>**Accessibility & Visibility:** C3 is being offered with excellent visibility & accessibility traits which in retail industry is a key parameter, as it is one of the determinants for footfall. The retail spaces in SP are located within key hubs of the campus, however has restricted exposure to a larger crowd. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes.<br><br>**Profile of Development:** C3 is located in a mixed use independent building with a predominant residential profile and limited retail profile to attract desired footfalls. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development<br><br>**Age & Quality:** C3 is a space offered in a comparatively old building with fairly dated services and architecture, whereas the subject property is a development offering contemporary services with fairly modern architecture. On account of this, we have applied a premium to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor<br><br>**Based on the above analysis, the adjusted capital value of the subject property in comparison to C3 is approx. AED 1,219 per sq.mt on leasable area.** |

# RENTAL DISCOVERY ASSESSMENT

| Comparable Property | Rental Value (AED/sq.mt) | Comparable Analysis |
|---|---|---|
| Comparable Property 4 (C4) | 1,450 | **Property Overview:** The Comparable Property (C4) is a shell & core retail space located in Al Mushrif community. C4 is located in a mixed use building with all necessary amenities covered.<br><br>**Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%)<br><br>**Size:** C4 admeasures a size of approx. 2,498 sq.mt and is substantially larger in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 696 sq.mt (spread across various units with size ranging from 10 sq.mt to 171 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a premium in the range of 10% to 20% (say approx. 15%) on account of the size characteristics.<br><br>**Location:** C4 is located in the periphery of Al Mushrif micromarket and is located in proximity to the subject property. Both SP & C4 are deemed to carry similar locational attributes. Hence no premiums or discounts have been applied.<br><br>**Amenities:** C4 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C4 & SP are deemed to carry similar traits in terms of amenties. However, the unit is being offered as a fitted out space. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the amenity attributes.<br><br>**Accessibility & Visibility:** C4 is being offered with excellent visibility & accessibility traits which in retail industry is a key parameter, as it is one of the determinants for footfall. The retail spaces in SP are located within key hubs of the campus, however has restricted exposure to a larger crowd. On account of this, we have applied a marginal discount to the subject property in the range of 3% to 6% (say approx. 5%) on account of the locational attributes.<br><br>**Profile of Development:** C4 is located in a mixed use independent building with a predominant residential profile and limited retail profile to attract desired footfalls. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development<br><br>**Age & Quality:** C4 is a space offered in a fairly new building which was constructed recently with all contemporary services and architecture. Both C4 & SP are deemed to carry similar traits in terms of age & quality. Hence no premiums or discounts have been applied.<br>**Based on the above analysis, the adjusted capital value of the subject property in comparison to C4 is approx. AED 1,522 per sq.mt on leasable area.** |

# RENT DISCOVERY ASSESSMENT – KHALIFA UNIVERSITY (MAIN CAMPUS – RETAIL SPACE)

| S.No | Location | Asking/ Transaction | Type | Leasable Area (In Sq.mt) | Annual Rental (AED/Annum) | Rental Value (AED/sq.mt) | Adjusted Rental Value (AED/sq.mt) |
|---|---|---|---|---|---|---|---|
| 1 | Al Muroor | Asking | Unfurnished (Shell & Core) | 135 | 220,000 | 1,630 | 1,467 |
| 2 | Al Muroor | Asking | Unfurnished (Shell & Core) | 712 | 783,200 | 1,100 | 1,183 |
| 3 | Al Muroor | Asking | Unfurnished (Shell & Core) | 120 | 150,000 | 1,251 | 1,219 |
| 4 | Al Mushrif | Asking | Unfurnished (Fitted Out) | 2,498 | 3,622,100 | 1,450 | 1,522 |

Based on the aforementioned comparable analysis, the average base rental value for the retail spaces pertaining to the subject property is assumed to be in the range of AED 1,349 per sq.mt to AED 1,399 per sq.mt on shell & core basis.

## BASE RENTAL OPINION SUMMARY – OFFICE SPACE & RETAIL SPACES IN MAIN CAMPUS, KHALIFA UNIVERSITY

| COMPONENT | Size & Configurations | LAND STERLING'S OPINION ON BASE RENTAL |
|---|---|---|
| Office Spaces | **Cumulative Net Internal Area of approx. 22,595 sq.mt** (spread across various units with size ranging from 4 sq.mt to 244 sq.mt) | Based on our comparable analysis, the average base rental value for office spaces pertaining to the subject property is assumed to be the following:<br><br>**Shell & Core: Range of AED 915 per sq.mt to AED 1,023 per sq.mt**<br>**Fitted Out: Range of AED 984 per sq.mt to AED 1,099 per sq.mt**<br>**Furnished: Range of AED 1,029 per sq.mt to AED 1,150 per sq.mt**<br><br>However, considering the inventory to be offloaded with the competing supply within a stipulated timeframe and the nature of the development (office spaces in an educational development vis-à-vis a typical office space), we are of the opinion that **a discount of 10% will be applicable on the assumed based rental value.** |
| Retail Spaces | **Cumulative Net Internal Area of approx. 696 sq.mt** (spread across various units with size ranging from 10 sq.mt to 171 sq.mt) | Based on our comparable analysis, the average base rental value for the retail spaces pertaining to the subject property is assumed to be the following:<br><br>**Shell & Core: Range of AED 1,345 per sq.mt to AED 1,399 per sq.mt**<br>**Fitted Out: Range of AED 1,446 per sq.mt to AED 1,504 per sq.mt**<br>**Furnished: Range of AED 1,514 per sq.mt to AED 1,574 per sq.mt** |

## BASE RENTAL OPINION SUMMARY – OFFICE SPACE & RETAIL SPACES IN MAIN CAMPUS, KHALIFA UNIVERSITY

| COMPONENT | Size & Configurations | LAND STERLING'S OPINION ON BASE RENTAL |
|---|---|---|
| Laboratory Spaces | **Cumulative Net Internal Area of approx. 14,632 sq.mt** | Based on our comparable analysis, the average base rental value for laboratory spaces is estimated to be the following:<br><br>**Shell & Core: Range of AED 869 per sq.mt to AED 971 per sq.mt**<br>**Fitted Out: Range of AED 956 per sq.mt to AED 1,069 per sq.mt**<br>**Furnished: Range of AED 1,000 per sq.mt to AED 1,117 per sq.mt**<br><br>However, considering the inventory to be offloaded with niche set of potential target tenants within a stipulated timeframe and the nature of the development (office spaces in an educational development vis-à-vis a typical office space), we are of the opinion that a **discount of 10% will be applicable on the assumed based rental value.** |
| Venues (Auditoriums) | **Cumulative Net Internal Area of approx. 2,228 sq.mt** | Based on our comparable analysis, the average base rental value for the retail spaces pertaining to the subject property is assumed to be the following:<br><br>**Shell & Core: Range of AED 823 per sq.mt to AED 920 per sq.mt**<br>**Fitted Out: Range of AED 906 per sq.mt to AED 1,012 per sq.mt**<br>**Furnished: Range of AED 947 per sq.mt to AED 1,058 per sq.mt** |

Signed for and on behalf of:

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THANK YOU